

L.A.'s budget gap nears \$1 billion

Council revisits salary arrangements with unionized public workers. ‘Thousands’ of layoffs considered.

By DAVID ZAHNISER

L.A.’s financial problems exploded into a full-blown crisis on Wednesday, with the city’s top budget official announcing that next year’s shortfall is now just shy of \$1 billion, making layoffs “nearly inevitable.”

City Administrative Officer Matt Szabo advised the City Council to focus on cost-cutting measures, including a potential reduction in the size of the workforce, to bring the budget into balance for 2025-26.

Szabo, in his presentation to the council Wednesday, attributed the city’s financial woes, in part, to increased spending on legal payouts, which have ballooned over the last few years. Tax revenues have been coming in much weaker than expected — and are expected to soften further in the upcoming budget year, which starts July 1.

Pay raises for city employees that are scheduled to go into effect in the coming budget year are expected to consume an additional \$250 million. On top of that, Szabo said, the city needs to put hundreds of millions into its reserve fund, which has been drained in recent months in an attempt to balance this year’s budget.

“The severity of the revenue decline, paired with rising costs, has created a budget gap that makes layoffs nearly inevitable,” he said. “We’re not looking at dozens or even hundreds of layoffs, but thousands.”

Mayor Karen Bass must present her strategy for closing the \$1-billion gap by April 21, the legal deadline for her to release her proposed 2025-26 budget. At this point, neither she nor the council are willing to wait.

“Because of the severity of the gap we are facing, the [See Budget, A9]



UCLA FACULTY members and others rally Wednesday. UC President Michael V. Drake said the cutbacks would affect nearly every aspect of the UC operation, including administrative offices and all 10 campuses.

AL SEIB For The Times

Rap’s ‘godfather’ accused of murder, fraud

By BRITTNY MEJIA

Eugene “Big U” Henley, a Crips leader who helped launch Nipsey Hussle’s career and was dubbed rap’s “godfather,” has been accused of murder, kidnapping, robbery, extortion and fraud, federal authorities announced Wednesday.

As part of Henley’s purported grip on Los Angeles, his alleged victims “were required to ‘check in’ with Henley before arriving in the city in order to obtain ‘protection,’ according the 107-page federal complaint unveiled Wednesday. Among those Henley allegedly extorted from were professional athletes and musicians, the complaint said, whose business interests were not always legitimate.

Federal authorities likened Henley’s “Big U Enterprise” to a “mafia-like organization” that relied on his “stature and long-standing association with the Rollin’ 60s and other street gangs to intimidate businesses and individuals” in L.A.

[See Henley, A7]

Eugene ‘Big U’ Henley, a Crips leader who became a gang interventionist, headed a ‘mafia-like’ enterprise, federal complaint says



PRINCE WILLIAMS WireImage

NIPSEY HUSSELE, left, hugs Eugene “Big U” Henley at a music event in Atlanta in 2018. Henley, who faces federal charges, helped launch the late rapper’s career.

In Golden State, fewer kindergarten students got the measles vaccine

By HANNAH WILEY, LAURA J. NELSON AND KOKO NAKAJIMA

Despite having some of the nation’s strictest school vaccination laws, California reported a decline last year in the share of kindergarten students who were immunized against measles, including in 16 counties where students no longer have herd immunity against one of the most contagious diseases.

New data from the California Department of Public Health show that last year, 96.2% of California students in transitional kindergarten and kindergarten were vaccinated against measles, mumps and rubella in the 2023-24 school year, down from 96.5% the year before. And 93.7% of kindergarten students were up to date on all their immunizations, down from 94.1% in the same period the previous year. Data on vaccination rates for first-grade students,

which are usually higher, were not yet available.

California’s childhood vaccination rates are still higher than in the U.S. overall. But public health experts say the declining immunization rate creates two main risks: that measles could spread here amid the deadly outbreak that began in Texas, and that the immunization rate could continue to fall.

The COVID-19 pandemic worsened trust in public health institutions, experts say, and there’s growing concern that deep political discord, along with widespread disinformation online, will only make it harder to reverse the downward trend.

A 95% vaccination rate, sometimes called “herd immunity,” is generally considered the gold standard of disease prevention. That threshold not only prevents infections from ripping through a community, but also protects those who are not able to get vaccinated [See Vaccination, A6]

UC orders cuts, hiring freeze

University sees ‘significant financial challenges ahead’ as Trump threatens to pull federal funding.

By JAWEED KALEEM

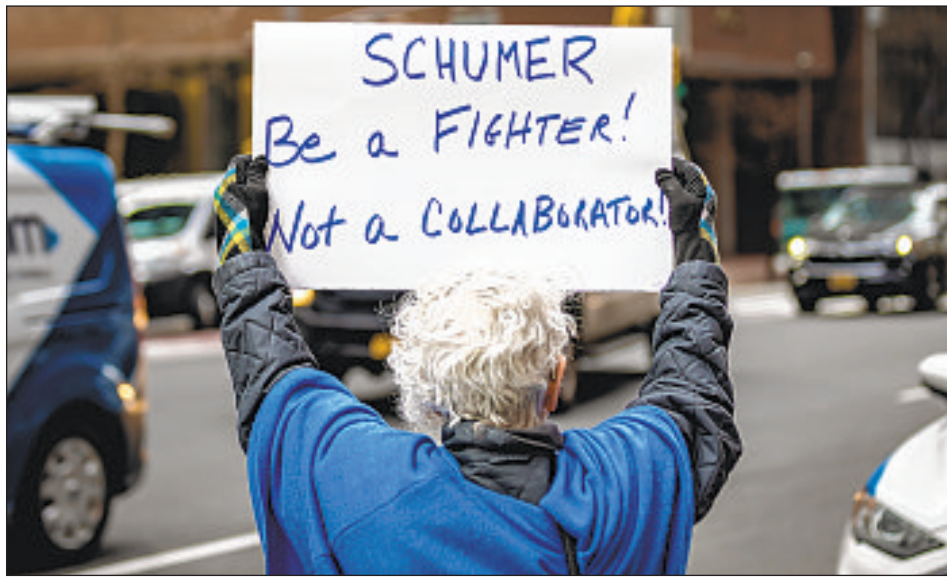
The University of California on Wednesday announced a systemwide hiring freeze to stave off layoffs and downsizing as it confronts unprecedented threats by the Trump administration to slash medical and science research funding key to its mission as the nation’s premier public university system.

Saying American higher education is in a “time of great uncertainty,” President Michael V. Drake explained the decision in a Wednesday letter and during a UC regents meeting. He said the cutbacks would affect nearly every aspect of the far-reaching UC operation, including administrative offices and all 10 campuses.

“The new administration in Washington, D.C., has announced a number of executive orders and proposed policy changes, including ones that threaten funding for lifesaving research, patient care, and education support,” Drake said. Coupled with preparations the university was already making in response to a proposed \$396.6-million state funding cut, Drake said he and chancellors were ready for “significant financial challenges ahead.”

The UC actions announced Wednesday include a systemwide hiring freeze, delays in maintenance work and reductions in business travel. Drake said he also directed all UC locations to “prepare financial strategies and workforce management plans” to address shortfalls.

Drake did not announce layoffs. But UC officials said campus chancellors could cull employment rolls to cut [See UC cuts, A12]



MICHAEL NIGRO Pacific Press/LightRocket

A PROTESTER outside the New York office of Senate Minority Leader Chuck Schumer last week urges him to fight a GOP spending bill, which split Democrats.

After a party rift in D.C., California Democrats unite in Medicaid battle

By KEVIN RECTOR

After a bruising Washington battle that averted a government shutdown but broke their party in two last week, leading California Democrats are trying to project a unified front on a

central issue in the next big budget fight: Medicaid.

Republicans have already signaled their intention to cut hundreds of billions of dollars from the healthcare program for low-income residents, people with disabilities and other vulnerable groups in order

to pay for tax cuts for the rich, the Democrats said — and must be stopped.

“Our budget should be a statement of our national values. What is important to us should be reflected in that budget. But what we see now is an assault on our values as [See Democrats, A6]

New bird flu strain hits South

A flock is wiped out. Meanwhile, a potential path to human immunity is seen for the H5N1 virus. **NATION, A5**

Ventura divided over ‘sanctuary’

Residents speak out on proposed LGBTQ+, immigrant and reproductive care protections. **CALIFORNIA, B1**

‘Week of Ohtani’ lives up to billing

Dodgers star’s homer in Tokyo Series culminates a glorious homecoming, writes Dylan Hernández. **SPORTS, B10**

Weather
Dry and sunny.
L.A. Basin: 74/51. **B6**

For the latest news, go to **latimes.com**.

Printed with soy inks on partially recycled paper.



Get breaking news, instantly.

Download the app for up-to-the-minute alerts.

